ECONOMIC BULLETIN

CPI preview, September quarter 2026 – Thursday 22 October, 10:45am.



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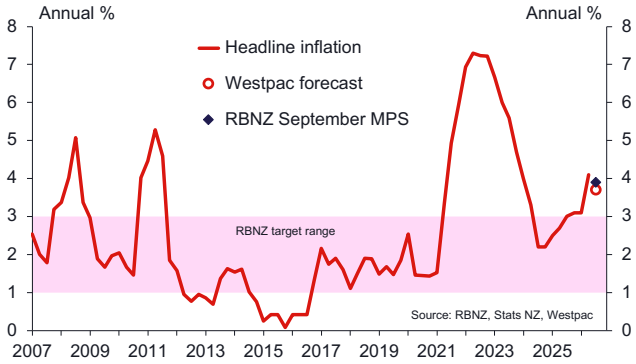
Stopping for gas

- We estimate that New Zealand consumer prices rose by 0.7% in the September quarter, with a moderation in fuel costs balanced against increases in council rates, building costs and food prices.
- The annual inflation rate is expected to drop back to 3.7% (down from 4.1% in the year to June).
- Measures of core inflation are expected to remain firm, with some closely watched measures expected to rise to the top of the RBNZ's target band.
- Our forecast is a little below the RBNZ's last published forecast for 3.9% annual inflation.

Consumer price inflation

	Jun-26 actual	Sep-26 forecast	
		Westpac	RBNZ (Sep MPS)
Headline inflation			
Quarterly	1.5%	0.7%	0.8%
Annual	4.1%	3.7%	3.9%
Non-tradables inflation			
Quarterly	0.6%	1.3%	1.3%
Annual	3.4%	3.6%	3.6%
Tradables inflation			
Quarterly	2.7%	-0.2%	0.2%
Annual	4.9%	3.9%	4.2%

Annual headline inflation



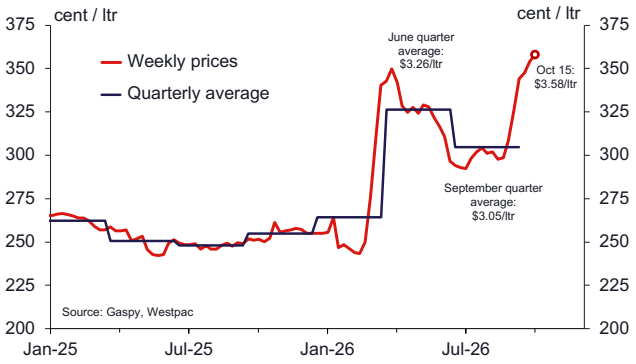
We expect the September quarter inflation report (out on 22 October) will show that New Zealand consumer prices rose 0.7% over the past three months. That would see the annual inflation rate slipping back to 3.7%, down from 4.1% in the year to June. However, as we discuss in our recent **forecast update**, that's likely to be just a temporary reprieve with the recent rise in oil prices set to push inflation up again over the coming months.

Key drivers of quarterly inflation.

Underpinning our forecast for 0.7% inflation in the September quarter are some big price movements in both directions.

The largest move in prices this quarter has actually been a sharp fall in fuel costs. Fuel prices aren't low by any stretch of the imagination. However, average prices for both petrol and diesel over the September quarter were lower than in the June quarter when prices rocketed higher in the wake of the Middle East conflict – see the chart below. In terms of specifics, the average price for 91 unleaded was around 6% lower in September than in the June quarter, while diesel prices were close to 16% lower. Fuel spending accounts for around 4% of the CPI, and these moves have taken 0.4ppts off inflation this quarter.

New Zealand petrol prices – 91 unleaded



While prices at the pump weren't as high as they were in the June quarter, fuel costs are still painfully high. And that's been bleeding through into higher prices for other goods and services. Of note, the September quarter saw large increases in passenger transport costs, with international airfares up 14% and domestic airfares up nearly 8%. Together those prices account for around 2% of the CPI.

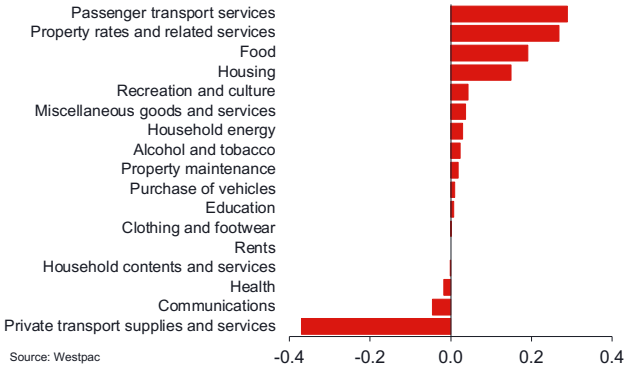
We also expect building costs (10% of the CPI) will rise by 1.6% this quarter following a similarly chunky rise in June. Again, much of that rise has been related to higher global oil prices which have been flowing through to higher operating and material costs. That's occurred at the same time as the amount of planned construction work has been rising.

The September quarter also sees the annual increases in local council rates and charges for services like water supply (around 4% of the CPI). We expect these costs will be up around 7.4% this year, continuing the run of large increases seen in previous years.

Lastly, the past few months saw a 1.0% rise in food prices (18% of the CPI), largely as a result of the seasonal rise in the price for fresh vegetables.

On the downside, we've seen continued softness in housing rents, which are the largest component of the CPI, accounting for 10% of the basket. With low population growth and ample supply, rents have effectively been flat since the start of this year. In annual terms, rental inflation is the lowest it's been in more than two decades, with regions like Wellington seeing outright falls.

Contributions to September quarter inflation forecast (percentage points)



Where could we be surprised?

There are some key areas where we see the risk of a downside surprise. The first is the price for communications equipment, like mobile phones. After a large rise in the June quarter, we could see a sizeable drop in prices this quarter.

There could also be softness in used car prices, especially with high fuel prices encouraging a shift away from combustion engine vehicles.

However, the risks aren't all to one side. Demand for more environmentally friendly new cars has picked up, and that could push up prices for those vehicles. In addition, we're watching to see if high fuel costs are spilling over into other prices as we're seeing in sectors like construction.

Core inflation around 3%, not easing.

With big swings in fuel costs and concerns that this is spilling over into a broader lift in inflation pressures, the RBNZ will be paying close attention to the various measures of core inflation (core inflation measures smooth through quarter-to-quarter swings in individual prices and instead track the underlying trend in inflation).

We expect that core inflation measures will point to continued firmness in underlying price pressures, with several closely watched measures likely to take a step higher this quarter. In terms of specifics, we expect:

- CPI ex-fuel inflation: +3.0% yr (vs +2.9% previously)
- CPI ex-fuel and food: +3.2% yr (vs +2.9% previously)
- CPI ex-fuel, food and household energy: +2.9% yr (vs +2.5% previously)

We'll also be watching the distribution of price changes to see if there's been a material increase in the number of prices that are increasing. That could be an early indication that businesses, even those with a limited exposure to fuel costs, are starting to factor in expectations of continued high inflation when setting prices.

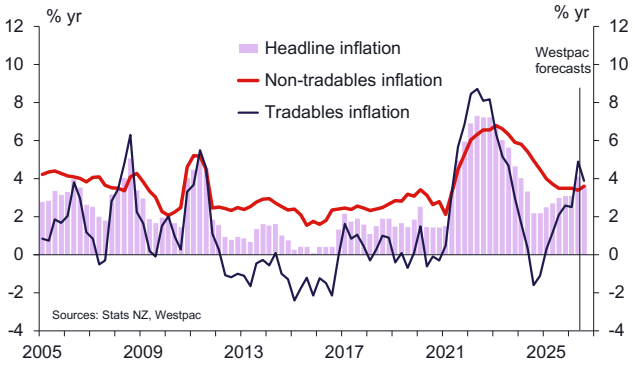
As we've noted before, the various measures of core inflation were not low even before the recent fuel shock. That means the RBNZ has limited headroom to absorb upside inflation surprises.

Much of that firmness in core inflation has been due to increases in domestically oriented non-tradables prices. We estimate these prices rose by 1.3% over the September quarter. That would see annual non-tradables inflation rising to 3.6%, up from 3.4% last quarter.

Non-tradables inflation is a key focus for the RBNZ and it's been running at these above-average levels for around a year now. That's despite the softness in economic growth and the labour market. In part, this firmness in domestic inflation is due to **continued large increases in administered prices**, like council rates.

On the imported front, lower fuel costs are expected to see tradables prices falling by 0.2% over the quarter. That would result in annual tradables inflation dropping back to 3.9% from 4.9% previously. Excluding food and fuel costs, we estimate that tradables prices were up 2.2% over the past year (vs 1.9% in the year to June). That would be the highest level in three years with the fall in the NZD boosting import costs.

Inflation components



How do our forecasts compare to the RBNZ's assumptions?

The RBNZ's last published forecast from their September policy statement assumed that consumer prices would rise by 0.8%qtr (3.9%yr). That's slightly higher than we're expecting. Most of the difference is because the RBNZ is expecting higher imported inflation.

A result in line with our forecast would give the RBNZ a little more breathing room ahead of their upcoming policy review on 28 October. We're expecting they will leave the OCR on hold at this meeting, while markets are pricing in a roughly 66% chance of a 25bp hike.

However, even if the overall inflation result is close to forecast, the underlying detail will be important. The RBNZ will be watching closely for signs that high fuel prices are spilling over into other prices, especially with global oil prices taking another step higher recently. With that in mind, the strength of the various core inflation measures will be a key focus for the RBNZ.

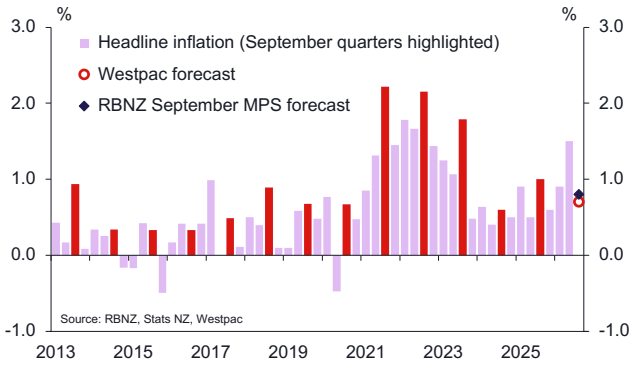
Furthermore, while annual inflation is expected to soften in the September quarter, this is likely to be just a temporary reprieve. With a sharp rise in fuel costs over the past few weeks, **inflation is set to reaccelerate** back over 4% before the end of this year, and it's set to remain above the RBNZ's forecast for most of next year.

September monthly prices.

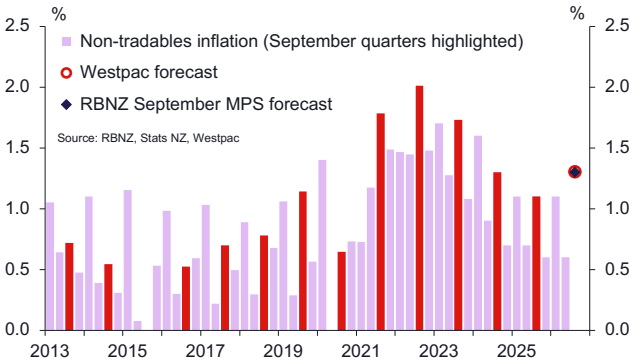
Our forecast for a 0.7% rise in consumer prices in the September quarter incorporates information from Stats NZ's latest monthly prices update. That update did reveal some softer than expected food price movements in September. However, that was balanced against larger than expected rises in airfares and holiday accommodation costs.

See next page for charts of quarterly forecasts.

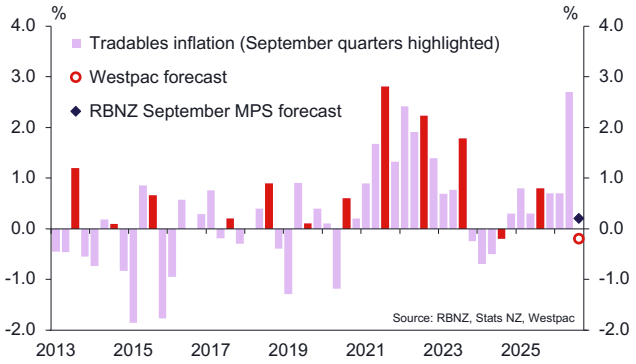
Quarterly CPI inflation



Quarterly non-tradables inflation



Quarterly tradables inflation



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